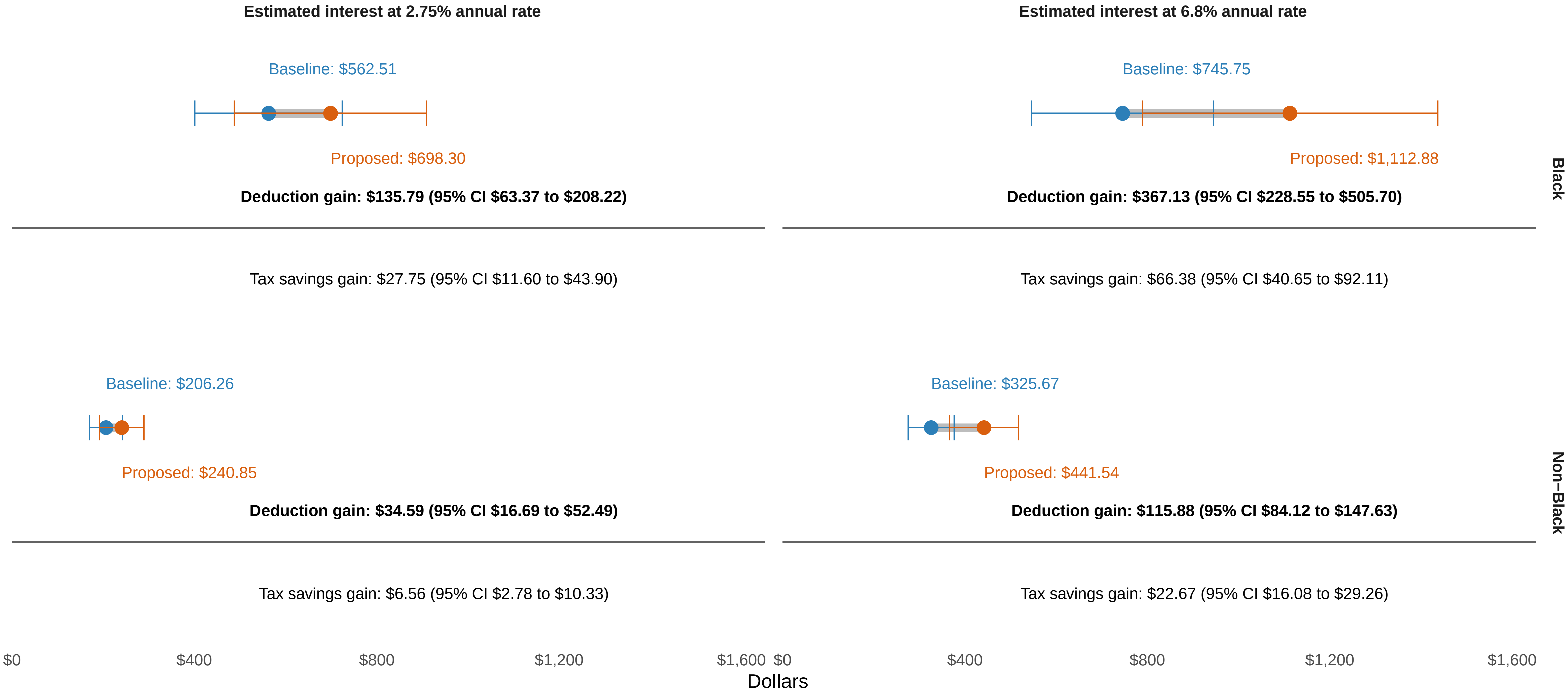
Appendix Figure: The Larger Married Cap Raises Deductions More Than Tax Savings

Baseline and proposed allowable deductions for married Black and Non−Black households, with 95% confidence intervals.



Author's analysis of 2022 Survey of Consumer Finances data. Population: subgroup means among eligible households with positive student debt; unmarried households have zero modeled gain by design because their cap is unchanged. Tax savings equal allowable deduction times an estimated 2025 federal marginal tax rate. The 2.75% and 6.8% rates are the minimum and maximum undergraduate federal loan rates from 2000 through 2025; because borrower−specific loan terms are not observed, they show a plausible range of impacts. Error bars show 95% confidence intervals.